about 90 percent of workers remain underemployed in the informal economy.[9]

Market-oriented, globalized authoritarian countries are sometimes thought to have the edge in economic development, especially in the early stages of catch-up growth, primarily by exploiting the advantages of backwardness.[10] Even Francis Fukuyama, who foretold the ideological triumph of liberal free-market democracy, believed that market-based authoritarian modernizers have a more impressive economic growth record than democracies, given the inability of weak states in new democracies to resist favored interest groups, as well as their resulting proclivity to protect noncompetitive industries, run larger deficits for consumption, and, in general, make economically irrational choices. "Market-oriented authoritarians," by comparison, can simultaneously "enforce a relatively high degree of social discipline on their populations," while allowing enough freedom to stimulate innovation.[11] Likewise, they can facilitate capital formation in the economy for the purpose of investment, while democracies that practice financial repression, like India, have done so mostly in the service of government consumption. Indeed, some "benevolent autocrats" are associated with growth miracles, most notably Lee Kuan Yew, the long-serving leader of Singapore.

However, as William Easterly, Adam Przeworski, and other scholars admonish, the observation of high growth rates in some autocracies is not particularly significant since autocrats are also associated with growth disasters. As Dani Rodrik explains, "autocracy is like a very risky bet: you can win big with Lee Kuan Yew, or you could lose it all with Mobutu [Sese Seko]."[12] Another variant is China's "bad emperor problem," where in one era Mao Zedong rules despotically, while in another Deng Xiaoping embraces economic reforms.[13]

The China Model, also called the China Miracle and Beijing Consensus, is the latest iteration of this debate.[14] However, its uniqueness should not be exaggerated, as important elements of China's development path have been consistent with the Washington Consensus, which emphasizes liberalization of markets, trade, and foreign investment, as opposed to conforming exclusively to the opposing Beijing Consensus, which features authoritarian rule, state capitalism, and capital controls.[15] The very notion of twenty-first-century state capitalism in China incorporates elements of market competition and integration into global production networks that have driven out state firms in many sectors, while state enterprises in the top-tier strategic